

IE04

Public Finance: Budget, Taxation, GST, Fiscal Policy,

FRBM

Indian Economy gives about 8 questions a paper, and public finance is the densest block inside it - expect 2-3. The questions are definitional and numerical, not analytical: a formula, an Article number, a rate, a percentage. Learn the tables cold and this chapter is fully bankable.

This chapter is about the government's own money - where it comes from, where it goes, and what it does when it falls short. Two things carry the marks: the four deficits with their formulas, and GST. RPSC asked GST and Input Tax Credit in 2018 and again in 2024, and the FRBM Act in 2023.

Public Finance

The Budget

- Art 112 Annual Financial Statement
- Revenue Budget + Capital Budget
- Receipts and expenditure
- Presented 1 February since 2017-18
- Charged vs voted expenditure

Taxes

- Direct vs indirect
- Progressive / regressive
- Tax buoyancy and elasticity
- Corporation tax 22% and 15%

The four deficits

- Revenue deficit
- Fiscal deficit = total borrowing
- Primary deficit = FD minus interest
- Effective revenue deficit (2011-12)

GST

- 101st Amendment Act, 2016
- Art 246A, 269A, 279A, 366(12A)
- CGST + SGST intra-State; IGST inter-State
- Council: Centre 1/3, States 2/3, decide by 3/4
- Slabs 5% and 18%, plus 40% on sin goods

FRBM

- Act 2003, in force 5 July 2004
- 2018 amendment: FD 3%, debt 40% + 60%
- Escape clause 0.5 percentage point
- N.K. Singh Committee 2017

Other levers

- Public debt and the NMP
- Disinvestment - DIPAM
- Black money - PMLA 2002
- Subsidies and DBT / PAHAL

What public finance is, and where the Constitution puts it

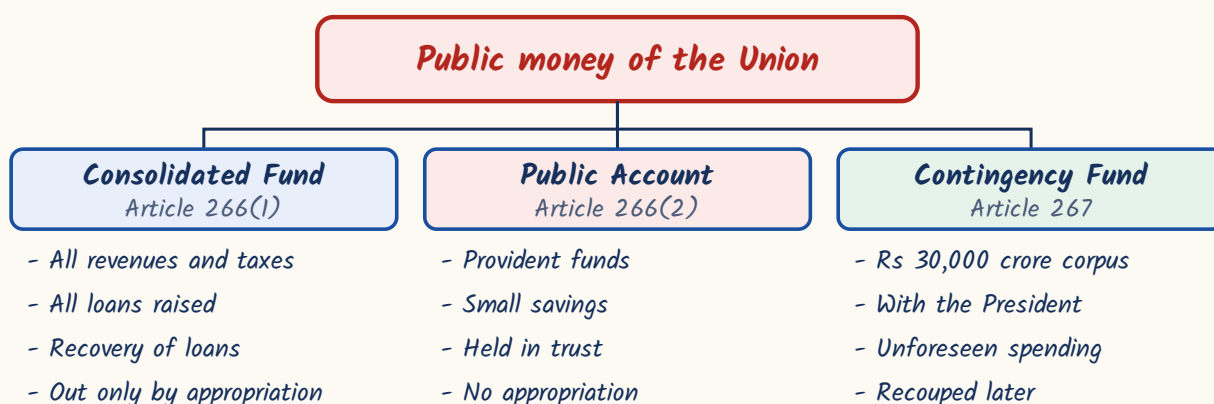
Public finance is the study of government income, government spending and the gap between the two. Private finance asks 'how much can I spend out of my income?' Public finance flips it - the government first decides what it must spend, then finds the money. That single reversal explains deficits, borrowing and tax policy. And nothing here is discretionary: every rupee has an Article behind it. Learn the Articles as pairs, because RPSC asks them as matching questions.

Budget and money Articles - the matching set

Article	What it covers
Article 112	Annual Financial Statement - the constitutional name of the Budget
Article 110	Definition of a Money Bill
Article 113	Demands for Grants - voted by the Lok Sabha
Article 114	Appropriation Bill - authority to withdraw from the Consolidated Fund
Article 116	Vote on Account, votes of credit, exceptional grants
Article 265	No tax shall be levied or collected except by authority of law
Article 266	Consolidated Fund of India and Public Account of India
Article 267	Contingency Fund of India - corpus Rs 30,000 crore, at the disposal of the President

- **Consolidated Fund** - all revenues, loans raised and loan recoveries; nothing leaves it without Parliament's appropriation.
- **Public Account** - money the government merely holds in trust (provident funds, small savings); no appropriation needed.
- **Contingency Fund** - an imprest for unforeseen spending, later recouped from the Consolidated Fund.
- If a question says 'no tax without authority of law', the answer is Article 265, not 266.

The three government funds

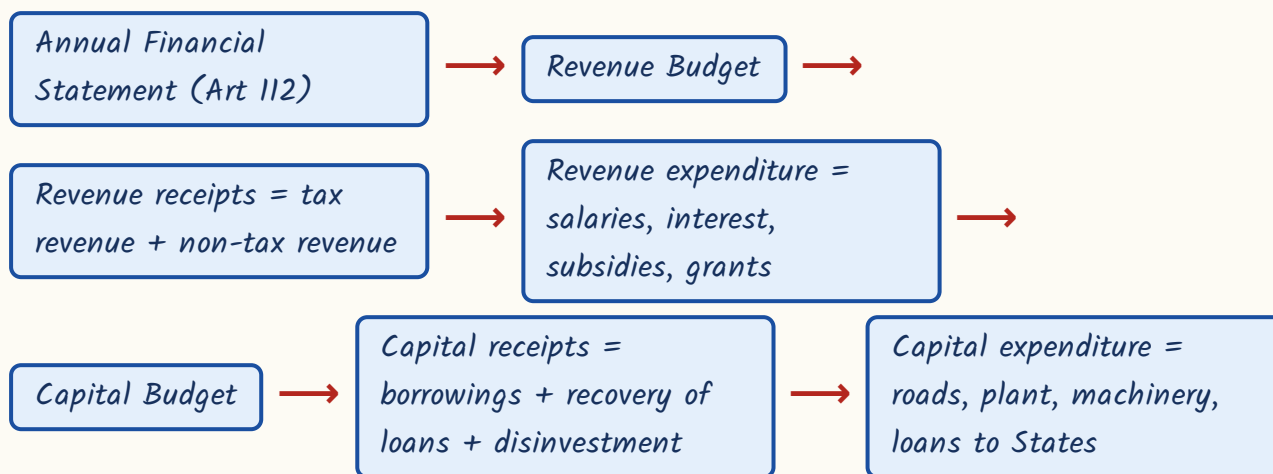


Some spending is deliberately placed beyond the vote of Parliament, so that the office concerned is not held to ransom by a majority. This is expenditure 'charged' on the Consolidated Fund of India: the President's emoluments; salaries of the Speaker, Deputy Speaker, Chairman and Deputy Chairman of Rajya Sabha; salaries and pensions of Supreme Court judges and of the CAG; debt charges of the Government of India; and sums needed to satisfy a court decree. Everything else is 'voted'. Note the exact wording - charged expenditure is not submitted to the vote of Parliament, but it CAN be discussed. An option saying it can neither be discussed nor voted is wrong.

The anatomy of the Budget - revenue side and capital side

Split the Budget twice and you will never be confused again. First split: Revenue Budget and Capital Budget. Second split, inside each: receipts and expenditure. That gives four boxes, and every budget number in the exam sits in one of them. The test is simple. A receipt is a revenue receipt if it neither creates a liability nor reduces an asset. It is a capital receipt if it creates a liability (borrowing) or reduces an asset (disinvestment, recovery of loans). Apply the same logic to expenditure - if it creates an asset or repays a liability, it is capital.

How the Union Budget is built up



The four boxes - learn one example of each

Box	Contains	Example
Revenue receipts	Tax and non-tax revenue	Income tax, GST, dividends from PSUs, interest received
Capital receipts	Debt and non-debt capital receipts	Market borrowing (debt); disinvestment and loan recovery (non-debt)
Revenue expenditure	Spending that creates no asset	Interest payments, salaries, pensions, subsidies
Capital expenditure	Spending that creates an asset or kills a liability	Highways, defence equipment, loans to States, repayment of principal

TRAP

Remember the rule - 'creates a liability or kills an asset = capital'. So disinvestment proceeds and recovery of loans are CAPITAL receipts, not revenue receipts. But they are non-debt capital receipts, so they reduce the fiscal deficit. A dividend from a PSU, on the other hand, is a revenue receipt. RPSC sets exactly this distinction.

- Since 2017-18 the Budget is presented on 1 February, not the last working day of February.
- From the same year the separate Railway Budget was merged into the general Budget.
- The plan / non-plan classification was abolished from 2017-18; the surviving classification is revenue / capital.
- Interest payments are the largest single item of revenue expenditure - about 26 per cent of total expenditure and 40 per cent of revenue receipts in the 2026-27 Budget.

The four deficits - the most confused topic in the chapter

Students lose more marks here than anywhere else in economy. There are four deficits and each answers a different question. Revenue deficit asks - is the government borrowing to meet day-to-day running costs? Fiscal deficit asks - how much must it borrow in total this year? Primary deficit asks - how much of that borrowing comes from this year's decisions, with the past stripped out? Effective revenue deficit asks - how much of the revenue deficit is genuinely unproductive, after removing grants that build assets? Two consequences follow. Fiscal deficit and total borrowing requirement are the same thing. And a zero primary deficit does not mean no borrowing - it means the government is borrowing exactly enough to pay interest on old debt and nothing more.

The four deficits with their formulas - memorise exactly

Deficit	Formula	What it tells you
Revenue deficit	Revenue expenditure - Revenue receipts	Current spending exceeds current income
Fiscal deficit	Total expenditure - (Revenue receipts + Non-debt capital receipts)	The total borrowing requirement of the government
Primary deficit	Fiscal deficit - Interest payments	This year's fiscal stance, past debt removed
Effective revenue deficit	Revenue deficit - Grants for creation of capital assets	Revenue deficit after removing asset-creating grants

The four deficits - how each is built from the one before

Revenue deficit

Revenue expenditure - Revenue receipts

the day-to-day gap

Effective revenue deficit

Revenue deficit - capital-asset grants

Budget 2011-12

Fiscal deficit

Total expenditure - non-debt receipts

= total borrowing

Primary deficit

Fiscal deficit - Interest payments

past debt removed

TRAP

Do not mix them up. Fiscal deficit = total expenditure minus total receipts EXCLUDING borrowings. Revenue deficit uses only the revenue account. Primary deficit is fiscal MINUS interest, never plus. Effective revenue deficit subtracts capital-asset grants from the REVENUE deficit, not from the fiscal deficit.

- Effective revenue deficit was introduced in the Union Budget 2011-12 and given statutory form by the FRBM (Amendment) Act, 2012.
- Monetised deficit = net RBI credit to the Centre - the part financed by printing money.
- Ad-hoc treasury bills, the old automatic monetisation route, were discontinued from 1 April 1997; Ways and Means Advances replaced them.
- Fiscal deficit is financed by market borrowing, small savings, external loans and drawdown of cash balances.

YAAD RAKHO

Numerical drill, because RPSC sets this sum. Revenue receipts 20, revenue expenditure 25, non-debt capital receipts 1, total expenditure 30. Revenue deficit = $25 - 20 = 5$. Fiscal deficit = $30 - (20 + 1) = 9$. If interest payments are 6, primary deficit = $9 - 6 = 3$.

FRBM Act and the N.K. Singh Committee

By 2000 the Centre's borrowing had become a habit rather than a policy. The FRBM Act was the attempt to bind the government's own hands by statute. It was enacted in 2003 and came into force on 5 July 2004. The Act is not a suicide pact, though - an escape clause allows a deviation of up to 0.5 percentage point from the fiscal deficit target on defined grounds: national security, act of war, national calamity, collapse of agriculture, structural reforms with unanticipated fiscal implications, or a sharp decline in real output growth. It was invoked during the COVID-19 years.

ASKED IN RAS

Asked in RAS Pre 2023 - in which year was the Fiscal Responsibility and Budget Management Act enacted? Answer: 2003. It came into force on 5 July 2004; do not let the 2004 option pull you.

- FRBM (Amendment) Act, 2018: fiscal deficit 3 per cent of GDP by 31 March 2021.
- Central Government debt not more than 40 per cent of GDP by 2024-25.
- General government debt - Centre plus States - not more than 60 per cent of GDP.
- Escape clause ceiling: 0.5 percentage point of GDP.
- Statements laid with the Budget under FRBM: the Medium Term Fiscal Policy cum Fiscal Policy Strategy Statement and the Macro-Economic Framework Statement.

FRBM Review Committee (N.K. Singh) - May 2016, reported January 2017

Item	Recommendation
Primary fiscal anchor	Debt-to-GDP ratio, replacing the fiscal deficit
General government debt	60 per cent of GDP = 40 per cent Centre + 20 per cent States
Fiscal deficit	2.5 per cent of GDP by 2022-23 - the Committee's number, NOT the Act's
New institution	A Fiscal Council for independent forecasts and assessment
Deviation	Escape clause of 0.5 percentage point with defined triggers

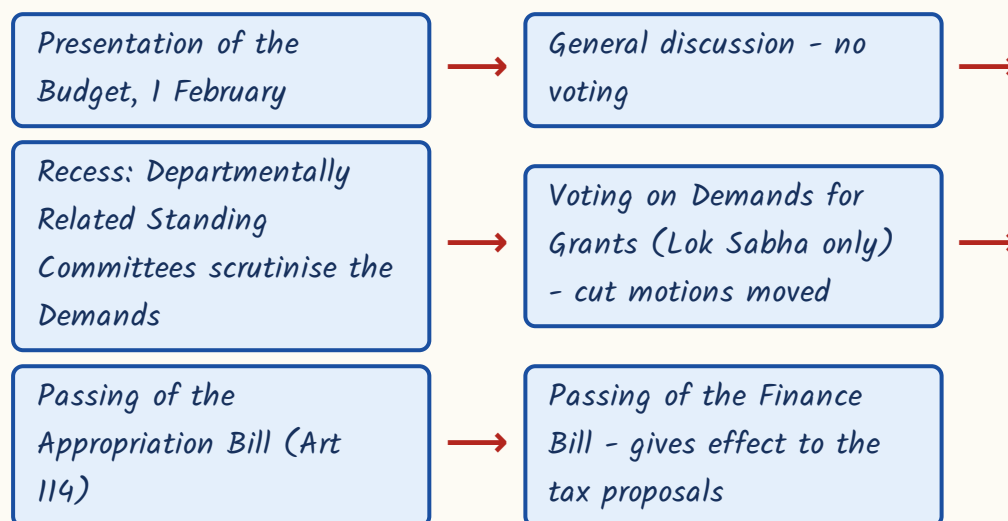
CURRENT LINK

Current link, as of September 2026: the Union Budget 2026-27, presented on 1 February 2026, put the fiscal deficit at 4.3 per cent of GDP (revised estimate for 2025-26 was 4.4 per cent). Total expenditure Rs 53,47,315 crore, capital expenditure Rs 12,21,821 crore, gross tax revenue Rs 44,04,086 crore. The Centre's new medium-term anchor is debt at 50 plus or minus 1 per cent of GDP by 2030-31 - the fiscal deficit is no longer the headline target.

How the Budget passes through Parliament

The Budget is not passed in one motion. It moves through six stages, and each stage has a name RPSC can ask. Learn the sequence, and learn the three cut motions by the amount each proposes.

Budget stages in Parliament



The three cut motions

Cut motion	What it says	Amount
Policy Cut	Total disapproval of the policy behind the demand	Reduce the demand to Re 1

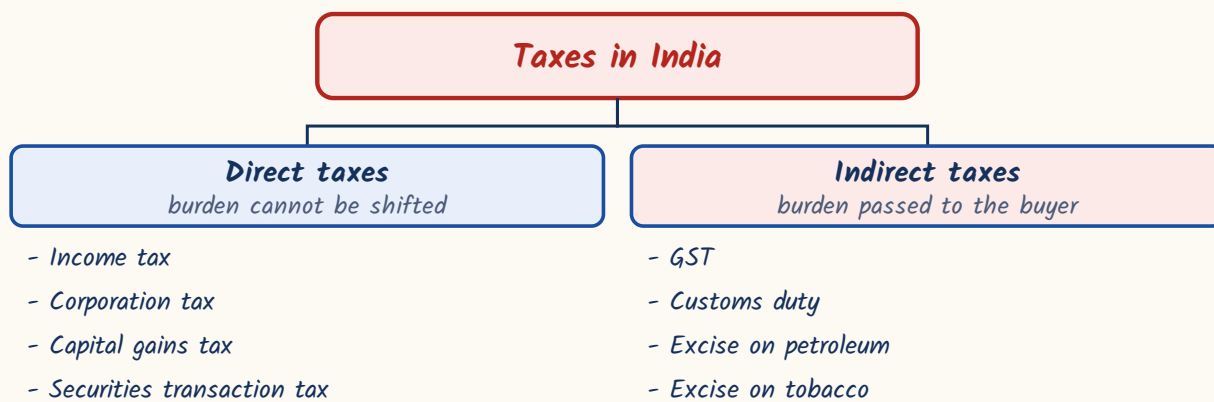
Cut motion	What it says	Amount
Economy Cut	Demand for economy in expenditure	Reduce by a specified amount
Token Cut	A specific grievance within the Centre's responsibility	Reduce by Rs 100

- Guillotine - the Speaker puts all outstanding Demands for Grants to vote together when time runs out.
- Vote on Account (Art 116) authorises WITHDRAWAL of money until the Appropriation Act is passed; it does not levy taxes.
- An interim budget is the whole document; the vote on account is only the spending authority inside it. They are not the same thing.
- Demands for Grants are voted only by the Lok Sabha; the Rajya Sabha may discuss but not vote.
- A cut motion passing amounts to a vote of no confidence, which is why they almost never pass.
- Supplementary, additional, excess and exceptional grants and votes of credit come under Articles 115 and 116.

Taxation - direct, indirect and the vocabulary that gets asked

A direct tax is one where the person who pays it also bears it - the burden cannot be passed on. An indirect tax is collected from one person but borne by another, usually the final consumer. Economists put it as impact versus incidence: for a direct tax both fall on the same person, for an indirect tax they fall on different people. That single sentence answers most classification questions in this chapter.

Classification of taxes



Direct tax vs indirect tax

Direct tax	Indirect tax
Impact and incidence on the same person	Impact on the seller, incidence on the consumer
Burden cannot be shifted	Burden is shifted forward in the price
Income tax, corporation tax, capital gains tax, securities transaction tax	GST, customs duty, central excise on petroleum and tobacco
Generally progressive - rate rises with the base	Regressive in effect - the poor pay a larger share of income
Collection cost high, evasion easier	Collection cost low, evasion harder, but inflationary
Reduces inequality	Does not by itself reduce inequality

- Progressive - rate rises as the base rises. Regressive - rate falls as the base rises. Proportional - rate stays flat.
 - Indirect taxes on mass-consumption goods work out regressive even at a flat rate, because the poor spend a larger share of income.
 - Tax buoyancy = percentage change in tax revenue / percentage change in GDP; it includes the effect of rate and base changes.
 - Tax elasticity nets out discretionary rate and base changes, so it measures the pure responsiveness of the system.
 - The Laffer curve says revenue first rises and then falls as the rate rises - beyond a point higher rates yield less.
-
- Corporation tax: 22 per cent concessional rate for existing domestic companies under Section 115BAA.
 - 15 per cent for new domestic manufacturing companies under Section 115BAB - both introduced in September 2019.
 - The Income-tax Act, 2025 replaces the Income-tax Act, 1961 with effect from 1 April 2026.
 - The Centre's gross tax-to-GDP ratio has stayed in the 11-12 per cent range in recent years.
 - The Kelkar Task Forces on direct and indirect taxes (2002) first proposed a national GST for India.

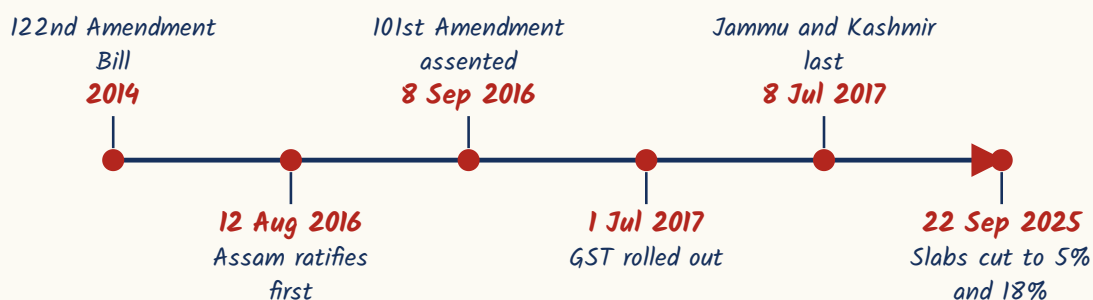
TRAP

Corporation tax, income tax, capital gains tax and securities transaction tax are DIRECT. Customs, excise and GST are INDIRECT. Every year some option smuggles securities transaction tax or capital gains tax into an 'indirect tax' list - it does not belong there.

GST - the constitutional architecture

GST is a destination-based, multi-stage, value-added tax on the supply of goods and services, with credit for tax paid at earlier stages. Before it, the Centre could not tax sales and the States could not tax services. To let both tax the same event, the Constitution itself had to be amended. Remember the surrounding dates too: assent on 8 September 2016, rollout on 1 July 2017, Assam the first State to ratify on 12 August 2016, and Jammu and Kashmir the last to adopt on 8 July 2017 - a week after the national rollout.

GST - from Bill to the two-slab structure



ASKED IN RAS

Asked in RAS Pre 2018 - GST was introduced by which Constitutional Amendment Act? Answer: the Constitution (101st Amendment) Act, 2016. It was introduced in Parliament as the 122nd Amendment BILL, 2014 - the bill number and the act number differ, and RPSC uses that gap as a distractor.

GST Articles - the matching set

Article	Subject
Article 246A	Concurrent power of the Union and the States to legislate on GST
Article 269A	IGST on inter-State supply - levied and collected by the Centre, apportioned between Centre and States
Article 279A	Goods and Services Tax Council - a constitutional body, not a statutory one

Article	Subject
Article 366(12A)	Definition of goods and services tax

GST Council under Article 279A

Element	Detail
Chairperson	Union Finance Minister
Members	Union Minister of State for Finance or Revenue; one Minister in charge of finance or taxation from each State
Vice-Chairperson	Chosen from among the State Ministers, by themselves
Quorum	One-half of the total number of members
Decision	Three-fourths of the weighted votes of members present and voting
Centre's weight	One-third of the total votes cast
States' weight	Two-thirds of the total votes cast, taken together

YAAD RAKHO

Remember the Council numbers as 1-2-3-4: Centre ONE-third, States TWO-thirds, THREE-fourths of weighted votes to decide, and quorum a HALF.

Neither side can act alone. And note the exact wording - three-fourths of members PRESENT AND VOTING, weights on votes CAST. An option saying 'three-fourths of the total members' is wrong.

GST in operation - slabs, credit, exemptions and compensation

One supply, but who levies the tax depends on where it goes. Within a State, the Centre levies CGST and the State levies SGST, each at half the applicable rate. Across States, the Centre levies a single IGST equal to CGST plus SGST, and then apportions it. In Union Territories without a legislature, SGST is replaced by UTGST.

Nature of supply to tax levied

Nature of supply	Tax levied
Supply within a State	CGST + SGST
Supply within a UT without legislature	CGST + UTGST
Supply from one State to another	IGST
Import of goods	IGST plus basic customs duty

ASKED IN RAS

Asked in RAS Pre 2018 and again in RAS Pre 2024 - Input Tax Credit. ITC lets a dealer set off tax paid on inputs against tax due on output, which is what stops GST from cascading. Learn the order: IGST credit is used first against IGST, then against CGST, then against SGST. And CGST credit can never be set off against SGST, nor SGST against CGST. A two-paper repeat - expect a third.

Inside, outside and exempt - keep the three apart

Category	Items
Outside GST permanently, by Art 366(12A)	Alcoholic liquor for human consumption
Outside GST till the Council notifies a date	Petroleum crude, petrol, high speed diesel, natural gas, aviation turbine fuel
Never in GST at all	Electricity duty and stamp duty - State levies
Inside GST but excise also applies	Tobacco and tobacco products

Category	Items
Exempt or nil-rated inside GST	Fresh fruits and vegetables, unbranded foodgrains, salt, healthcare and education services

ASKED IN RAS

Asked in RAS Pre 2018 and RAS Pre 2024 - which item is NOT kept outside GST? In such a set the answer is tobacco, which is inside GST and carries central excise as well. Alcoholic liquor for human consumption and the five petroleum products are the ones outside.

- Composition scheme turnover limit: Rs 1.5 crore (Rs 75 lakh in special category States).
- Composition rates: 1 per cent for traders and manufacturers, 5 per cent for restaurants, 6 per cent for service providers up to Rs 50 lakh.
- Composition dealers get no Input Tax Credit and cannot make inter-State outward supplies.
- E-way bill is required for a consignment above Rs 50,000 in value.
- GSTN is now wholly government-owned - Centre 50 per cent, States and UTs 50 per cent, after the 2018 restructuring.
- Compensation: 14 per cent assumed annual revenue growth over base year 2015-16, guaranteed for five years to 30 June 2022.
- The compensation cess was extended to 31 March 2026 to service the back-to-back loans raised for States.
- The Empowered Committee of State Finance Ministers on GST was first chaired by Asim Dasgupta.

CURRENT LINK

Current link, as of September 2026: the 56th GST Council meeting on 3 September 2025 rationalised the rate structure. From 22 September 2025 the 12 per cent and 28 per cent slabs were abolished. The principal slabs are now 5 per cent and 18 per cent, with a 40 per cent rate on demerit and sin goods such as pan masala, tobacco and aerated drinks. Special rates survive - 0.25 per cent on rough diamonds, 1.5 per cent on cut and polished diamonds, 3 per cent on gold and silver. Individual life and health insurance premiums were exempted by the same decision. This is the single most likely GST question for 2026.

Public debt, disinvestment, black money and subsidies

The tail of this chapter is a set of scattered facts, and they are easy marks because each is a single date, name or number. Do not skip them - RPSC likes exactly this kind of one-liner.

- Disinvestment is handled by DIPAM - Department of Investment and Public Asset Management, renamed from the Department of Disinvestment in 2016.
- National Monetisation Pipeline - August 2021, NITI Aayog, about Rs 6 lakh crore of brownfield assets over FY2022 to FY2025.
- Under the NMP, ownership stays with the government; only the right to operate and earn is transferred for a period.
- Strategic disinvestment means transfer of management control; a minority stake sale does not.

Black money - the legal machinery

Law or body	Year
Prevention of Money Laundering Act	Enacted 2002, in force 1 July 2005

Law or body	Year
SIT on black money, headed by Justice M.B. Shah	2014
Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act	2015
Benami Transactions (Prohibition) Amendment Act	2016

- Direct Benefit Transfer was launched on 1 January 2013.
- PAHAL (DBTL) for the LPG subsidy was re-launched nationwide on 1 January 2015 and is in the Guinness World Records as the world's largest cash transfer programme.
- The three major subsidies of the Union Government are food, fertiliser and petroleum.
- DBT reduces the subsidy bill by cutting leakage and duplicate beneficiaries, not by cutting the entitlement.
- Chronology ladder, part 1: FRBM 2003, PMLA in force 2005, DBT 2013, Black Money Act 2015.
- Chronology ladder, part 2: 101st Amendment 2016, GST rollout 1 July 2017, NMP August 2021, GST rate rationalisation 22 September 2025.

REVISION RECAP

1. Article 112 Annual Financial Statement, 110 Money Bill, 113 Demands for Grants, 114 Appropriation Bill, 116 Vote on Account.
2. Article 265 no tax without law; 266 Consolidated Fund and Public Account; 267 Contingency Fund, Rs 30,000 crore, with the President.
3. Charged expenditure - President, Speaker, SC judges, CAG, debt charges - discussed but not voted.
4. Capital receipt = creates a liability or reduces an asset. Disinvestment and loan recovery are non-debt capital receipts.
5. Revenue deficit = revenue expenditure minus revenue receipts.
6. Fiscal deficit = total expenditure minus (revenue receipts + non-debt capital receipts) = total borrowing requirement.

7. Primary deficit = fiscal deficit minus interest payments. Effective revenue deficit = revenue deficit minus capital-asset grants (Budget 2011-12, FRBM Amendment 2012).
8. Ad-hoc treasury bills ended 1 April 1997; WMA replaced automatic monetisation.
9. FRBM enacted 2003, in force 5 July 2004. 2018 amendment: FD 3% by March 2021, Centre's debt 40%, general government 60%; escape clause 0.5 percentage point.
10. N.K. Singh Committee - May 2016, report January 2017; debt-to-GDP anchor, 60% = 40% + 20%, FD 2.5% by 2022-23, Fiscal Council.
11. Budget 2026-27 (1 February 2026): fiscal deficit 4.3% of GDP; new debt anchor 50 plus or minus 1 per cent of GDP by 2030-31.
12. Cut motions - Policy (Re 1), Economy (specified amount), Token (Rs 100). Guillotine closes the debate.
13. Direct tax burden cannot be shifted; indirect can. Buoyancy includes rate changes, elasticity does not.
14. Corporation tax 22% under IISBAA, 15% for new manufacturing under IISBAB, both from September 2019.
15. GST - Constitution (101st Amendment) Act 2016, introduced as the 122nd Amendment Bill 2014, rolled out 1 July 2017; Assam ratified first, J&K adopted last.
16. Art 246A concurrent GST power, 269A IGST, 279A Council, 366(12A) definition.
17. GST Council - Union FM chairs; Centre one-third, States two-thirds, three-fourths of weighted votes to decide, quorum one-half.
18. ITC order - IGST against IGST, then CGST, then SGST; CGST and SGST credits never cross.
19. Outside GST - alcohol permanently, five petroleum products till notified; tobacco is inside GST plus excise.
20. From 22 September 2025 - slabs 5% and 18%, 40% on sin goods; compensation was 14% growth over base 2015-16, guaranteed to 30 June 2022, cess extended to 31 March 2026.